

CEO ENTREPRENEUR

Inspiring business minds

Creating a **Business** **Structure** for Your Business

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The Essential Functions of a Small Business

Growing a small business requires essential functions that cannot be ignored. Yes, I'm even talking to all of the solopreneurs out there who assume organisational charts and structures aren't for them!

No matter what industry you're in or what type of business you own, you must understand the essential functions your business needs to scale. If you want to be the kickass CEO of your business that I know you can be (and avoid burning out) you've got to work on your business instead of in it.

So, what are these essential functions in your business?





Finance Function

You're in business to make money. It doesn't matter if you're a start-up or a multi-million-dollar company, every business needs to have a finance function. No, I'm not suggesting that you set-up a little bank complete with ominous vaults in your office. But you should probably think about outsourcing the financial aspects of the business to an accountant or bookkeeper.

As your business grows and the financial activities become more pressing, you may need to hire people and expand the finance department. If you're in the early stages of business or you own a small business, there's no need to overcomplicate these things. Essentially, the finance function is about maintaining and understanding cash flow into the business and budgeting.



Sales and Marketing

Although sales and marketing are two separate functions within your business, I've decided to group them here because this often happens in businesses and who am I to question tradition?

The marketing function is about marketing the business. It involves building brand awareness and increasing interest in the product or service that the business is selling.

If the marketing function is successful at generating interest, the sales function is responsible for 'closing the deal.' Sales convert marketing messages and leads into revenue for the business.

Depending on how you plan to market and sell your products and/or services, you can choose to group them together or have them as separate functions in your business.



Customer Support and Customer Service

Small businesses usually don't put a lot of focus on customer service or support as a separate function. However, as sales rise and your customer base increases, your need for customer support to answer questions and deal with enquires will rapidly grow beyond your personal capacity.

The chances are that the minute you sell your first few products or service, you will have to engage and deal with customers. This may be you initially, so if this is the case, don't ignore it and make sure it is listed out as a function within your business. You should be looking to delegate this function to others as soon as is feasible to prevent overwhelm.



Operations Function

The operations function is very important because it is responsible for most (if not all) the processes that happen outside and within the business. Not only that, but they are also responsible for maintaining quality, efficiency, and capacity.

Your business needs systems and processes to succeed. There are no shortcuts here, which is why the operations function is so important. They will be the reason why certain processes can be repeated and replicated by more than one person.

The truth is that you are either a visionary or an integrator. Visionaries have amazing ideas, but they need help from integrators to turn those dreams into a reality. Unfortunately, it's extremely rare that you are both a visionary and an integrator.

As it so happens, most start-up entrepreneurs and business owners are visionaries and they have a serious case of the shiny object syndrome. If you're a visionary, you **NEED** an integrator. Integrators rule the operations function and if you need more convincing on the importance of having an integrator, I suggest you read ['Rocket Fuel' by Gino Wickman!](#)



Admin and Management

Admin is quite possibly the most exciting part of owning and running a business, don't you agree? No? Me neither. Admin is the non strategic activities involved in organising and running the day to day activities of the business.

I, however love the strategic planning, leadership, and decision-making responsibilities of growing a business but when it comes to pure admin, I'd rather go and hide in a closet.

However, just because you and I don't like admin doesn't mean that someone else won't. Some people LOVE admin. They are passionate about admin work and they find it exciting. Those are the people you need on your team because there's always going to be someone who loves doing the things you hate, which is one of the reasons why you hire them in the first place!



IT Function

It is very difficult to scale a business in this day and age without having an online presence. The type of IT function your business needs depends on your individual business. A tech-based company will definitely need a prominent IT function to keep everything up and running. On the other hand, a small local business might not require such a large IT team. Either way, if you intend on scaling your business, you'll likely need to create an appropriate IT function to help you achieve your goals.



Legal Function

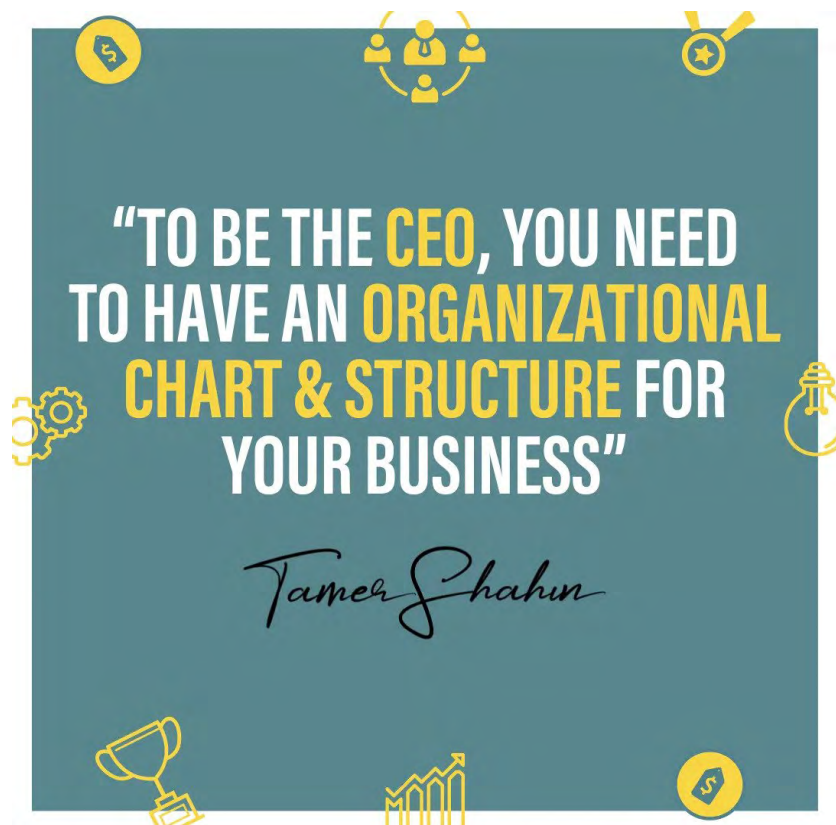
You might not need an entire legal team in your corner, but most businesses will need some form of a legal function, which can be completely outsourced if you prefer. Never underestimate the importance of legal advice as a small business owner or entrepreneur. As a business owner, you need to understand what legal aspects you need to be on top of, and having a legal function will help you with things like drafting contracts, handling legal aspects of deals and acquisitions, and so on.



Other Common Functions In A Small Business

There are many more functions that your business may have or need. Some of these may not be relevant to your business, but here are some if you're curious:

- ⌚ Research and Development
- ⌚ Production
- ⌚ Distribution
- ⌚ Purchasing
- ⌚ HR

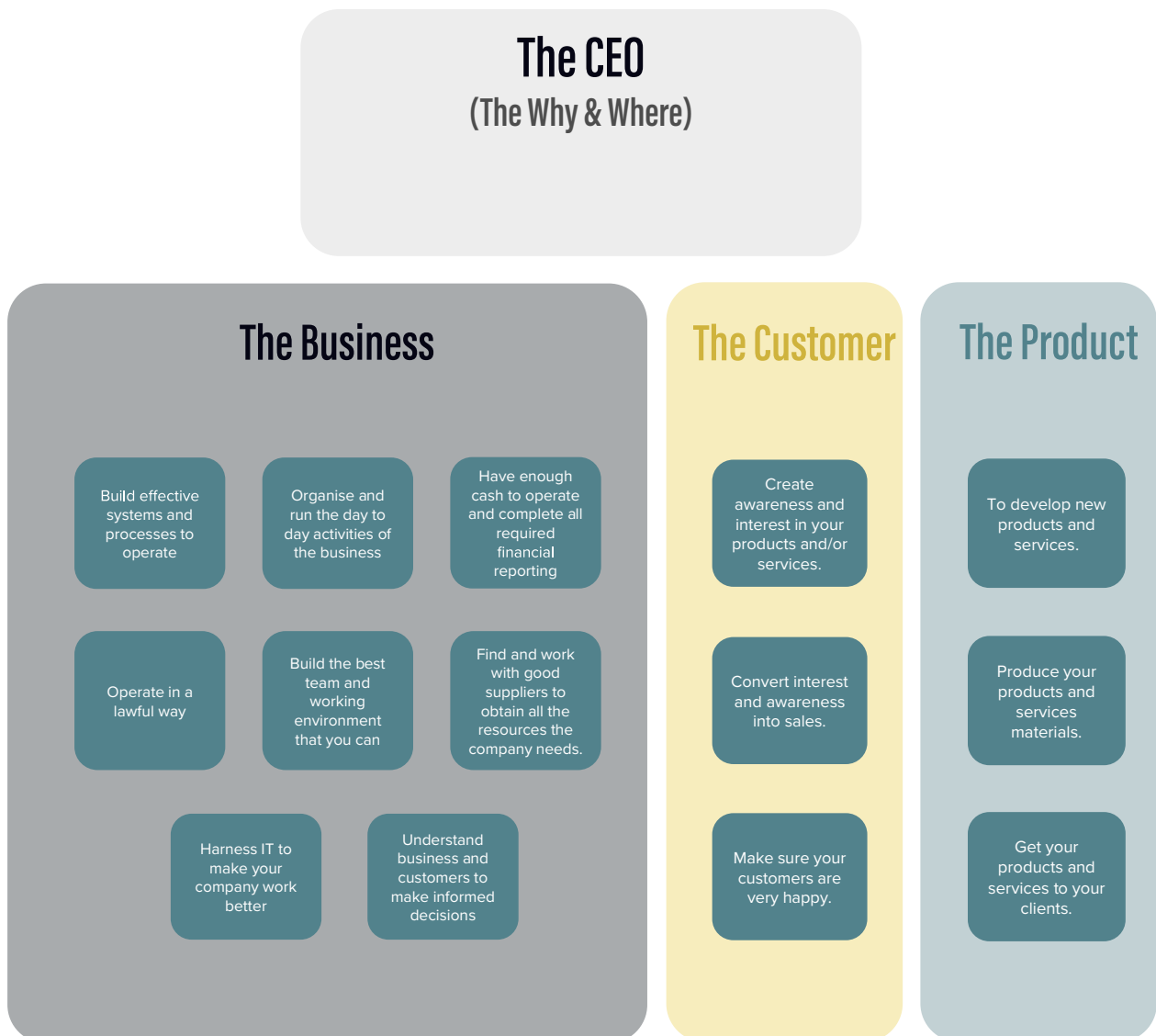




Putting it all together

Essentially, there are four main pillars within a business. The CEO Pillar, which represents the Why you exist, where is your end destination and what is the overall strategy the business will execute to get it to that destination. This pillar also figures out what are the main resources that will be needed to realise the strategy (people, functions, sufficient cash, etc) as well as what the company culture will look like.

The Product Pillar is responsible for the products and / or services for the business. The Customer Pillar is responsible for the entire customer journey (marketing, sales, and after sales). Last, but not least, the business pillar is responsible for making the business operate effectively, efficiently, and lawfully.





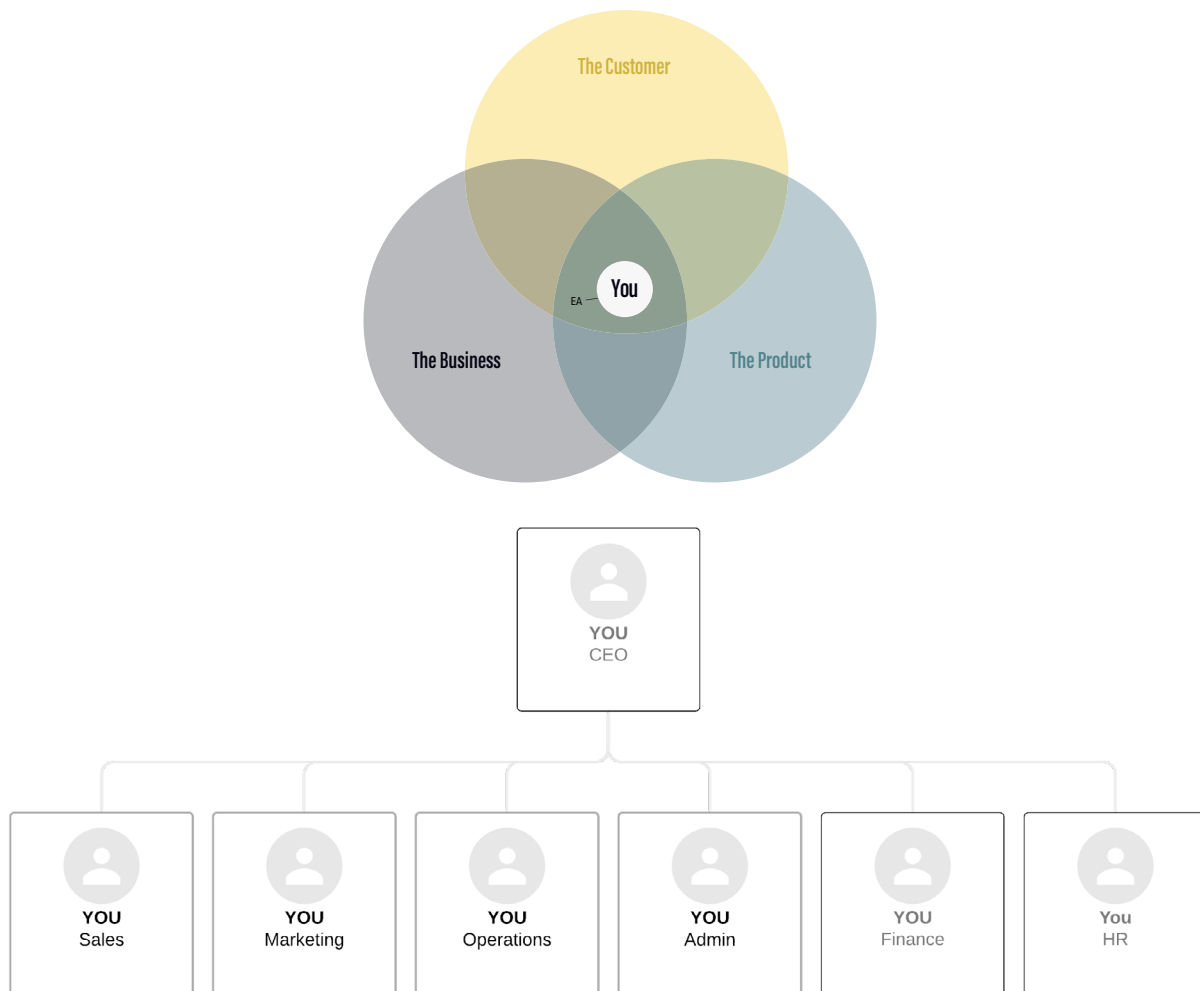
Mapping Out Your Company Structure

Now that you have a better idea of what functions your small business needs, you can begin mapping out your organisational structure based on all of the functions that are operating within your business.

Remember, you can't do everything on your own. Yes, you may have to wear more than one hat for a while until you can bring on more people. But if you continue to wear all of the hats in your business, you will burn out.

So let's begin assuming you're just starting out and it's only you. Decide on what these essential functions in your business are and list them down. A good way of looking at this is fast forward three years and look at what functions your business will have.

You can start by drawing out a sketch – something like this:



So yes, first of all you may wear all of these hats, but the important thing here to understand is that these are other peoples' hats that you are wearing. They are not yours. Your role is the CEO of the company. [Watch this video](#), if you haven't already seen it to understand what your role should be. So the sooner you can start finding other people to do these other roles, the better (when it makes business sense, but as soon as feasibly possible).

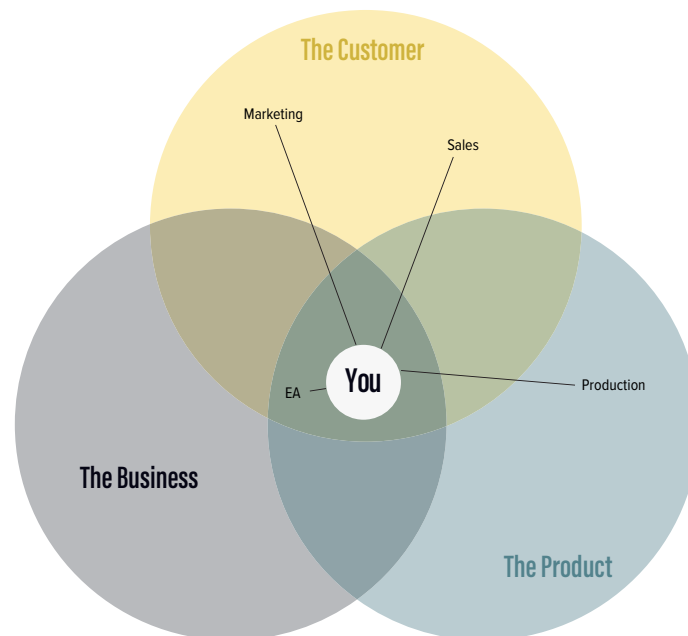


Sketch Out Your Most Basic Org Chart Below:

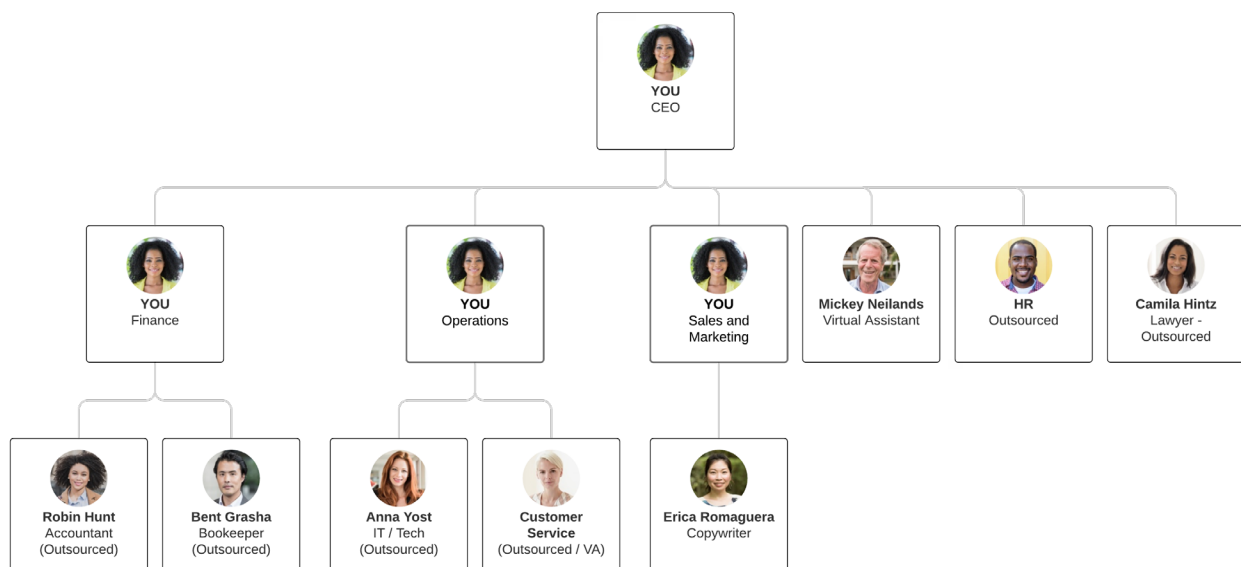


Next Steps as Your Company Grows

As your business grows, you will need to bring in more people. In some cases, they could be outsourced people or your own employees. They will typically report directly to you first.

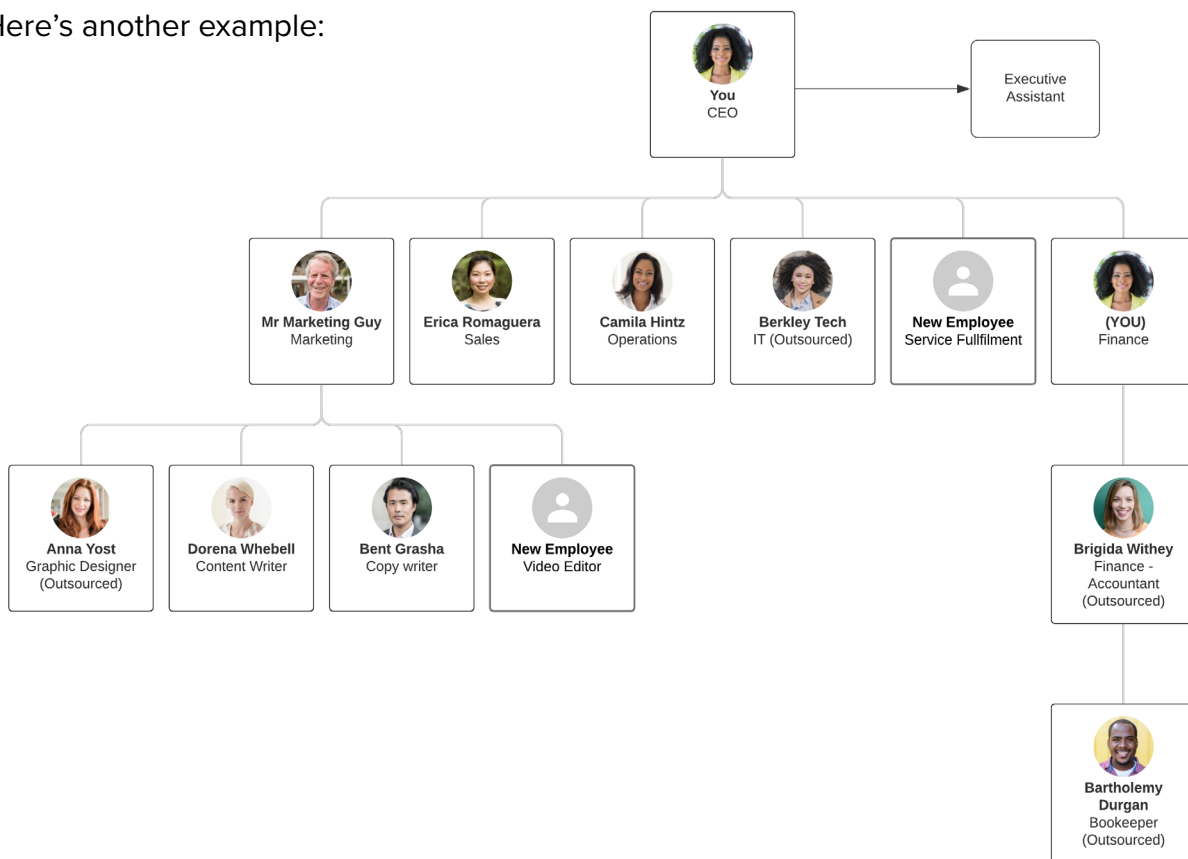


The next step you should do is map is to start placing people in different roles. It could look something like this:

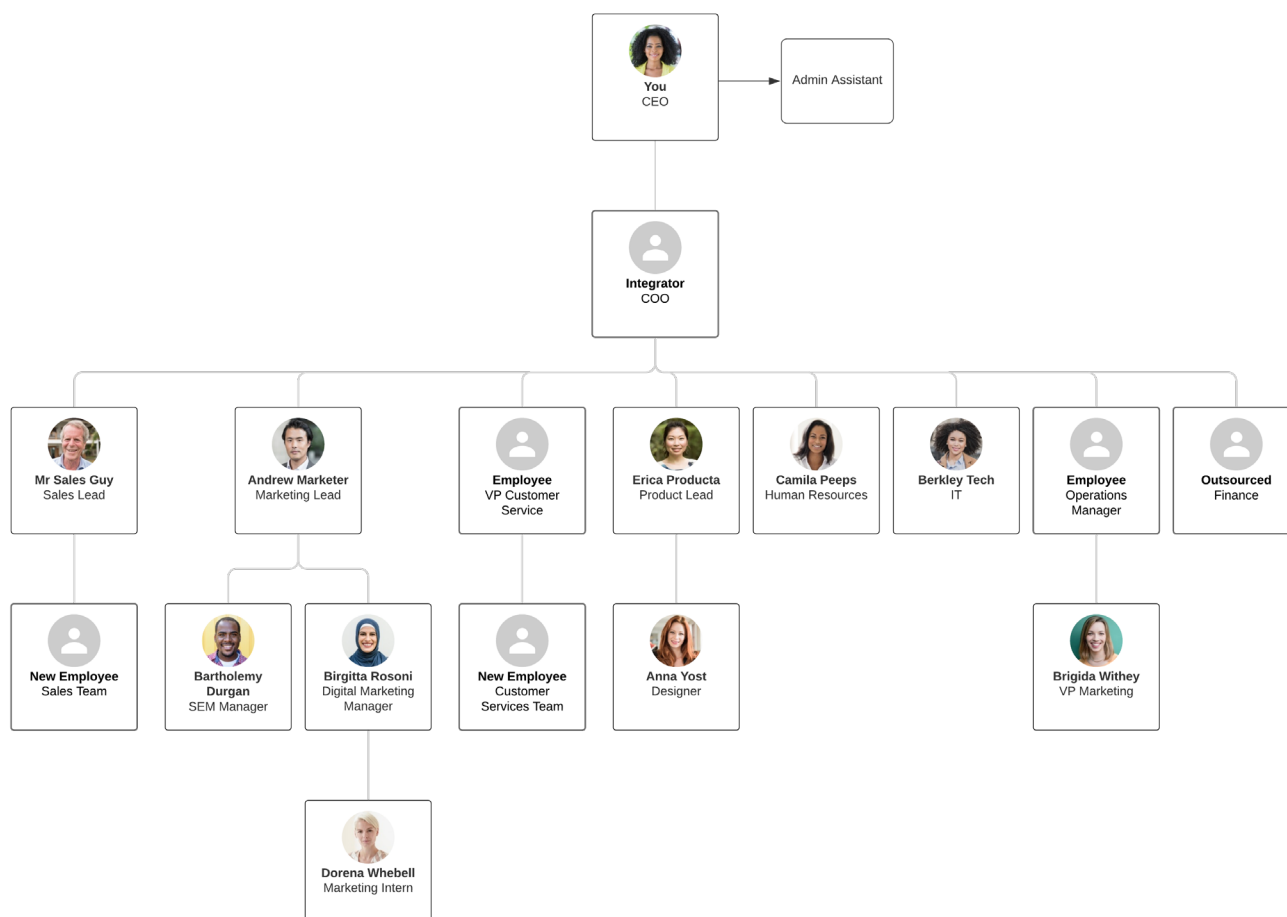


Remember, each type of business will have a different set of functions. You can also decide to have a hierarchical structure where you have different people responsible for different functions and they have a team respectively. Or it could be flat where everyone reports to you directly. They could also be structured by location. But for now, let's keep it simple.

Here's another example:



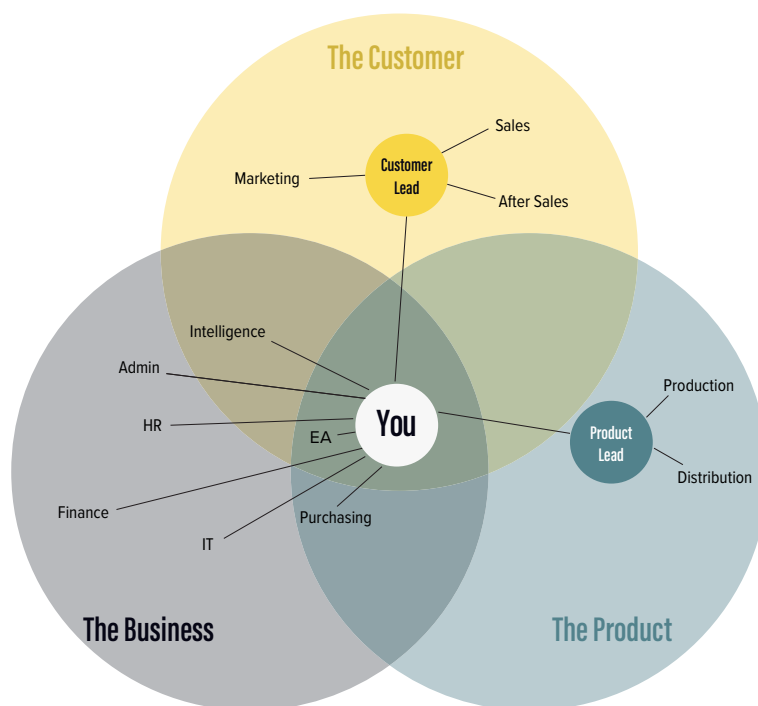
If you are a visionary as mentioned in the Rocket Fuel Book, you may also be looking to hire an integrator, who will make sure everything inside the business is running like clockwork. Here is an example of a slightly larger company to give you an idea:





Draw Below Your Org Chart With Roles And People...

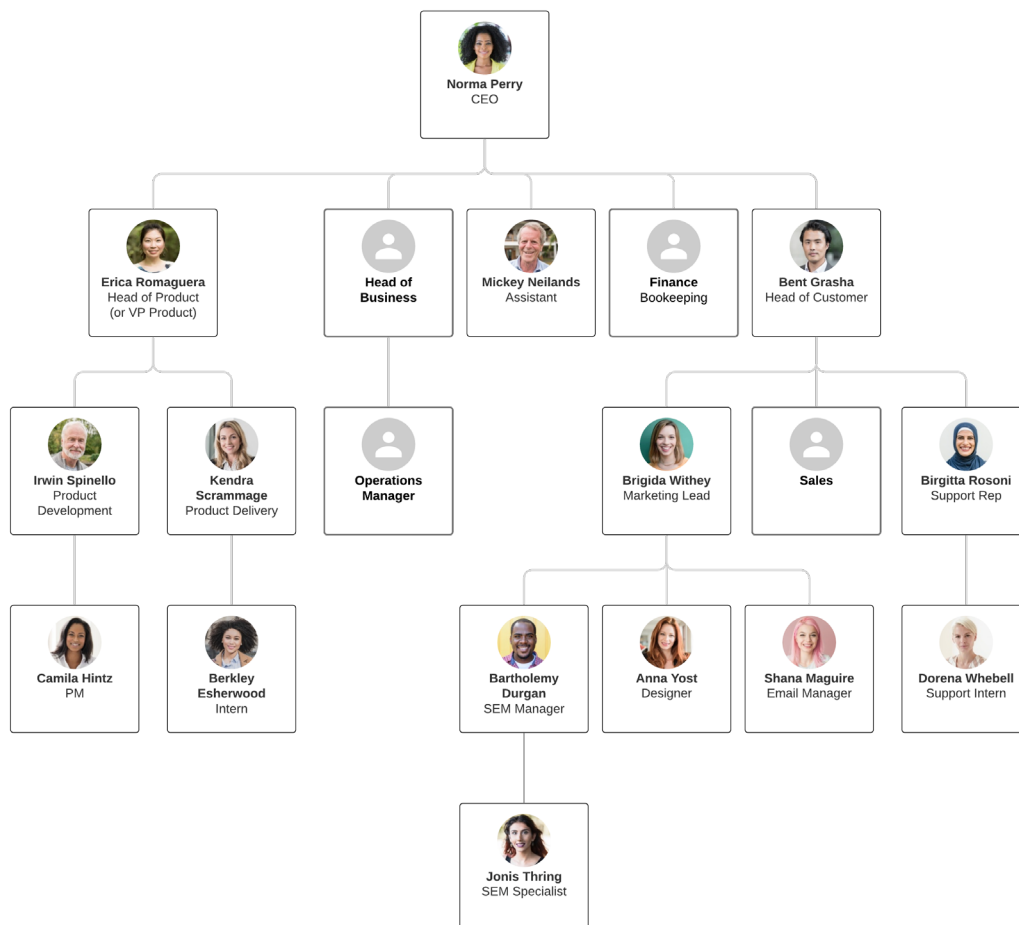
Now, depending on how large you would like to grow your business, obviously the structure and the number of people you intend to have will be vastly different. If you would like to keep this as a solopreneur style business, where most, if not all of your team is outsourced, then this is fine. But you could also be looking at growing it and having full time employees and bringing in leads or managers for each of the pillars.



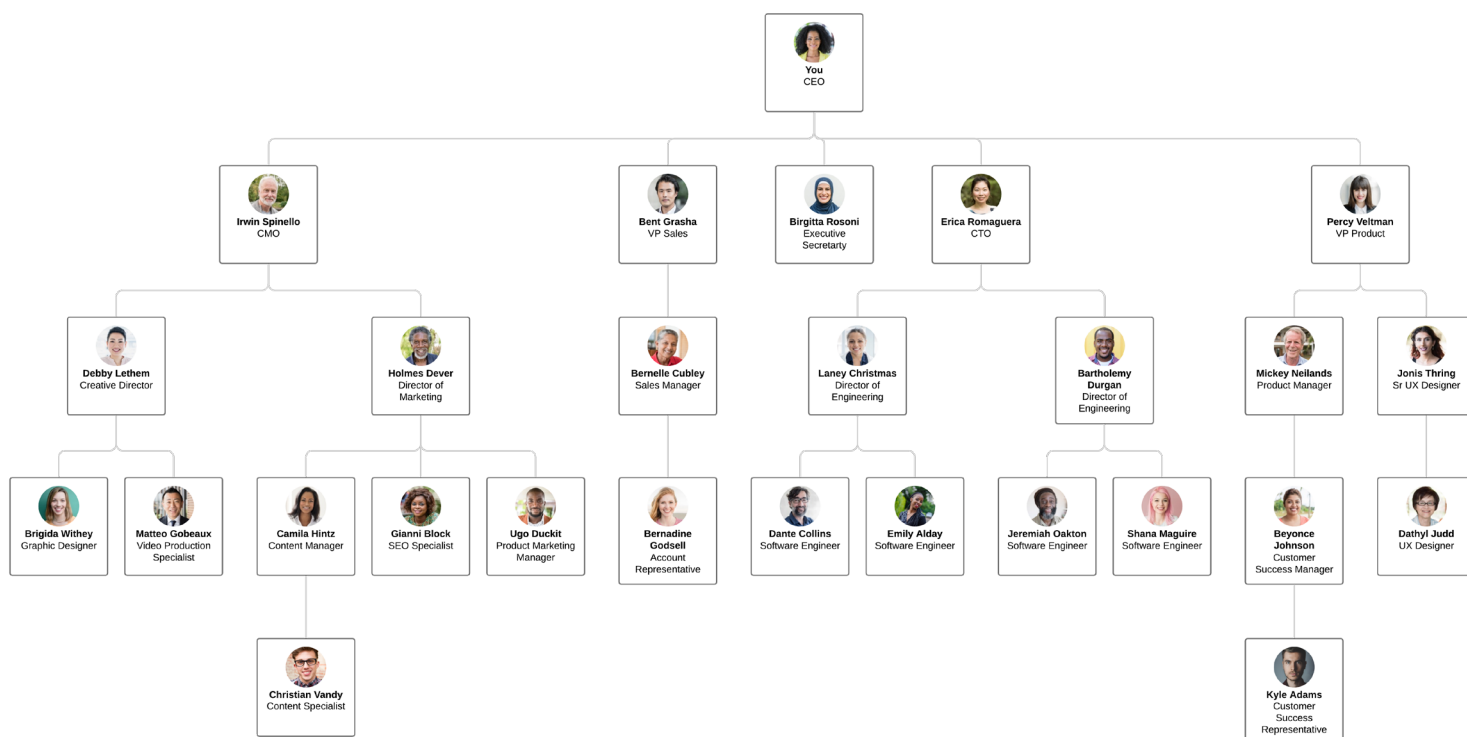
As you grow further, you may start to build 'leadership teams' for each of the pillars or functions as one person leading a large team may not be sufficient.



Here are some more examples for you to look at to get some ideas, but remember, there is no one size that fits all. Every business is different and there are multiple factors that can affect how you structure your business :)



Or...



You obviously won't know the name of each employee or freelancer at this stage and in this case, just put down the function and role you will need to have in your business. When it becomes necessary to have this function/role in your business, either you or someone else in your team can play that role until it is filled.

Once you have all of these roles set out, it is important to write a basic job description for what you want each role to do, what they will be held accountable for, and how will you measure their success. This is important even at the earliest stages so that you know what is your responsibility and what is someone else's responsibility in the future.

If you haven't already subscribed to my YouTube channel, [please do so here](#). Lot's more value on the way!

Has your business hit a glass ceiling?

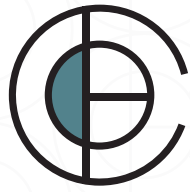
Let's find the #1 Problem That's Holding You Back



Putting out fires but staying stuck means there's a bigger problem to solve. The **FREE Business Triage** will find your #1 business problem so that you can fix it and achieve your most ambitious goals.

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